CASE STUDY · AT&T MOBILITY & ENTERTAINMENT

A $100M roaming pricing opportunity

Philip Forsey
Manager, Strategic Pricing – Advanced Analytics
Philip.Forsey@Outlook.com · 702-786-3045

Note on figures: AT&T results and customer data are proprietary. Every number here is a reasonable approximation, rounded or directionally scaled, presented to illustrate the method and the shape of the finding rather than actual company performance.

OPPORTUNITY SIZED	REVENUE GROWTH	RECOMMENDED MOVE	APPLIED TO
$100M	**+10%**	**Selective 20% rate increase**	**Price-insensitive segments only**

1 · BUSINESS GOAL

International roaming pricing had been flat for years and was treated as untouchable: any increase was assumed to trigger churn and competitive loss. Leadership wanted to know whether there was room to price for value, and what it would cost if there was not.

The question I was given: is there a defensible price increase in roaming, and which customers can absorb it without leaving?

2 · HYPOTHESIS

Price sensitivity in roaming is not uniform. For a business traveler whose employer reimburses the bill, or a frequent traveler for whom connectivity abroad is non-negotiable, the day pass is a low-consideration purchase. For a once-a-year leisure traveler it is a discretionary one.

If those groups can be separated in advance, a price increase can be aimed at the first and withheld from the second, instead of being applied across the book or not at all.

FROM FLAT PRICING TO A TARGETED INCREASE

STEP 1 — Baseline the book
Establish revenue, margin and volume per traveler under current flat pricing.

STEP 2 — Predict sensitivity
Score every traveler on likely response to a higher day-pass price.

STEP 3 · DECISION POINT — Isolate the headroom
Identify the high-value, low-sensitivity segments where price can move.

STEP 4 — Net out the churn
Subtract expected volume and customer loss from the gross price gain.

STEP 5 — Protect the exposed
Pair the increase with targeted retention for the customers most at risk.

3 · ANALYSIS: WHAT I RAN AND WHY

Predictive segmentation
Scored travelers on trip frequency, destination mix, reimbursement signals, data appetite and plan tenure to predict price response.

Why: a single blended elasticity would have hidden the segments that carry the entire opportunity.

Elasticity & competitive benchmarking
Estimated volume response per segment and checked each proposed price point against competitor and eSIM alternatives.

Why: headroom only exists where the new price still wins on value, not just on willingness to pay.

Churn & scenario modeling
Modeled churn risk per segment, then ran the revenue case across conservative, expected and aggressive adoption scenarios.

Why: the objection to any increase is churn, so the case had to price that risk rather than argue against it.

Guardrails: segment assignments were validated on a holdout period, the revenue definition was reconciled with finance so the upside could be compared against the forecast already in plan, and the recommendation was sized as a range rather than a point estimate.

4 · INSIGHT

Building the $100M

Gross price gain on low-sensitivity segments	$118M
Less: volume reduction from the increase	-$12M
Less: modeled churn among exposed customers	-$9M
Plus: retention offers protecting at-risk value	+$3M
NET ANNUAL OPPORTUNITY	**$100M**

Roughly a 10% lift on the roaming line, and the losses were an explicit line item in the case rather than a risk raised later in review.

Where the price could move

High value, price-insensitive — +20%
Frequent and business travelers. Connectivity abroad is non-negotiable; measured response to price was minimal.

Moderate value, watchful — Hold
Occasional travelers who compare options. Priced as-is; the increase would have cost more in volume than it earned.

At-risk and substituting — Retain
Already weighing local SIM, eSIM or Wi-Fi. Targeted retention rather than a price move.

The finding that changed the conversation: the opportunity was concentrated, not general. Most of the upside sat in a minority of travelers, which meant the increase never had to touch the customers who would have left over it.

5 · DECISION: A SELECTIVE INCREASE, NOT A BLANKET ONE

THE OPTIONS ON THE TABLE

- **Hold pricing.** Zero risk, zero upside, and the value gap keeps widening.
- **Raise across the book.** Largest gross number, but the churn cost lands on the price-sensitive customers and erases it.
- **Raise selectively.** Most of the upside, with the exposure confined to segments that can absorb it.

WHAT WAS RECOMMENDED

- A 20% increase applied only to segments the model scored as low sensitivity.
- Pricing held flat for watchful and substituting travelers.
- Targeted retention funded out of the upside for the at-risk group.
- Staged rollout with churn and complaint guardrails that would halt it.

How the recommendation was made safe to approve: segmentation defined eligibility, so the increase applied only where the model predicted the customer would stay. The case was presented as a range with the churn cost already netted out, which moved the review from debating whether customers would tolerate a higher price to deciding which segments to start with.

6 · OUTCOME

$100M into the plan
A roughly 10% roaming revenue lift, sized net of churn and volume loss and reconciled with the standing forecast.

Pricing became segment-led
The default shifted from one roaming price for everyone to price by measured sensitivity, with retention aimed where it was needed.

Reusable framework
The sensitivity scoring and net-of-churn case structure carried into later pricing reviews across the portfolio.

What I would carry forward: "we cannot raise prices" is usually a statement about the average customer. Naming the segments where the average does not apply, and pricing the downside instead of arguing it away, is what turned an untouchable line into an approved one.